WAVERLEY GATEWAY GUIDE

Connecting International Capital

ESTONIA

Europe

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Tallinn	Capital and business centre; seat of government and Eesti Pank, and home to Estonia's start-up, fintech and digital-services community	Software, fintech, cyber security, business services
Ülemiste (Tallinn)	Site of the Rail Baltica passenger terminal, due for completion at the end of 2028, with about €500 million of wider area investment planned	Real estate, tech campuses, transport and logistics
Muuga Harbour	Estonia's largest cargo port, with a 76-hectare industrial park and free-zone benefits offered by the state-controlled Port of Tallinn	Logistics, energy, defence industry, value-added manufacturing
Paldiski	Port with a new multifunctional quay and a 20-hectare military logistics zone, also planned as a base for offshore wind farms	Offshore wind logistics, defence logistics, energy
Tartu	University city and second-largest urban centre, with a strong research and IT base	Software, research and development, education technology
Ida-Virumaa (Narva and the north-east)	Traditional industrial and energy region on the border with Russia, now seeking new industry and green energy investment	Chemicals, energy, manufacturing, materials processing

INVESTOR ENTRY ROUTES

- Invest Estonia, part of the Estonian Business and Innovation Agency (EIS), provides free support with site selection, incentives and introductions; it helped secure a record €431 million of foreign investment decisions in 2025
- A large-scale investment incentive scheme, under which the first three grants approved in autumn 2025 are expected to bring about €400 million into the economy
- A corporate income tax regime that taxes only distributed profits, at 22% (22/78 of the net amount), with retained and reinvested earnings untaxed; a planned rise to 24% in 2026 was cancelled
- Port of Tallinn industrial parks and the Muuga free zone, offering serviced land with quay access for manufacturing, energy and defence-related companies
- e-Residency, which allows non-residents to found and run an Estonian company online; e-residents founded 5,556 companies in 2025
- Euro-area, EU single-market and Schengen membership, with free capital movement and no currency risk against the euro

MARKET-ENTRY OBSERVATION

Estonia in November 2026 offers investors one of Europe's most digital and business-friendly environments, inside the euro area, the Schengen area and NATO. The economy has returned to steady growth after a long downturn: GDP rose 0.5% in 2025 and 1.8% year-on-year in the second quarter of 2026, the fifth consecutive quarter of growth, led by manufacturing up 6.5% and construction up 7.5%. Eesti Pank expects growth of 2.4% in 2026 and 2.5% in 2027, and unemployment is forecast to fall from 7.5% in 2025 to 6.5% in 2026. Invest Estonia helped secure a record €431 million of foreign investment decisions in 2025, up from €254 million in 2024, in electronics, chemicals, energy, wood processing and machinery, while e-Residency generated a record €125 million in state revenue.

Estonia's main structural challenge is funding a rapid defence build-up while keeping public finances on a sustainable path. Defence spending is rising to 5% of GDP in 2026 and a planned 5.4% in 2027, and Eesti Pank expects the general government deficit to widen from 2.0% of GDP in 2025 to 4.2% in 2026 and 4.9% in 2027. The starting position is strong: public debt was only 24.1% of GDP at the end of 2025, among the lowest in the EU, and the EU's national escape clause allows defence-related deficits. Inflation has eased from 4.8% in 2025 to 3.1% in September 2026, and the government cancelled planned income-tax rises and introduced a uniform €700 monthly tax-free allowance. For investors, the defence build-up, Rail Baltica and energy-security projects create sustained demand for engineering, logistics, construction and dual-use technology.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Rising deficit and defence costs	Defence spending of 5% of GDP is expected to lift the deficit to 4.2% of GDP in 2026 and 4.9% in 2027, with debt rising	Debt of 24.1% of GDP leaves room for manoeuvre; monitor future budgets for tax changes and build them into plans
Border with Russia and EU sanctions	Estonia borders Russia, and incidents such as a brief incursion by Russian border guards in December 2025 keep security in focus; EU sanctions on Russia apply in full	NATO and EU membership anchor security; take sanctions and export-control advice for any Russia-linked trade, and include standard contingency planning
Energy prices	The 2026 Middle East war raised energy prices and uncertainty, weighing on energy-intensive sectors	Secure long-term power contracts and consider on-site renewables; offshore wind and grid projects create opportunities
Tax changes and cost pressures	VAT rose to 24% in July 2025 and inflation was 4.8% in 2025, raising consumer prices and wage costs	Inflation has eased to about 3%, the tax on retained profits remains zero, and planned income-tax rises were cancelled
Small labour market	A population of about 1.4 million limits the supply of specialist staff	Use digital public services and remote hiring, partner with universities in Tallinn and Tartu, and draw on EU labour mobility
Infrastructure timelines	Completion of the Rail Baltica line has been moved from 2030 to 2034	Construction continues and the Ülemiste terminal is due by end-2028; phase logistics plans and target construction contracts now
Election in March 2027	Parliamentary elections are due by 7 March 2027 and may bring a change of coalition	Estonia's pro-business, pro-EU consensus is broad; track party positions on tax and the budget

INVESTOR RISK NOTE

Estonia's risk profile is that of a stable euro-area, EU and NATO member with very low public debt, a transparent legal system and among the most advanced digital government services in the world. Growth has resumed for five consecutive quarters, inflation has eased to about 3%, and the government has kept the distinctive tax regime under which retained profits are untaxed. The main near-term issues are a wider budget deficit driven by defence spending of 5% of GDP, energy-price uncertainty after the 2026 Middle East war, and parliamentary elections due by 7 March 2027. Estonia borders Russia, EU sanctions on Russia apply in full, and investors should take sanctions

and export-control advice for any trade involving Russia or dual-use goods. Within these limits, Estonia offers investors legal certainty under EU law, the convenience of the euro and a fast, digital business environment.

MARKET ACCESS

As a member of the EU and the euro area, Estonia gives investors tariff-free access to the EU single market and all EU free trade agreements, with WTO membership and the EU's common trade policy governing trade with third countries. The euro removes exchange-rate risk for trade with euro-area partners, and Schengen membership allows passport-free movement across most of Europe. Estonia's main markets are its Nordic and Baltic neighbours, with close links to Finland across the Gulf of Finland and to Latvia and Lithuania. Rail Baltica, now targeted for completion by 2034, will connect Tallinn to Central Europe with a European-gauge railway, while the ports of Muuga and Paldiski serve Baltic Sea shipping, energy and military logistics.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Government Office (Prime Minister Kristen Michal)	Leads the Reform Party and Estonia 200 coalition government in office since March 2025, with defence and economic growth as priorities	Primary reference point for Estonia's strategic direction and major projects
Invest Estonia / Estonian Business and Innovation Agency (EIS)	National investment promotion body; runs foreign investor support and the large-scale investment incentive scheme	Standard first point of contact for market entry and incentives
Eesti Pank	Estonia's central bank and member of the Eurosystem; its governor sits on the ECB Governing Council	Relevant for economic outlook, banking and payments matters
Ministry of Finance (Minister Jürgen Ligi)	Leads the budget, tax policy and the response to rising defence costs	Key counterpart on tax, fiscal and public-finance matters
Port of Tallinn	Nasdaq-listed port authority, 67% state-owned, operating the Muuga and Paldiski harbours and their industrial parks	Partner for port-side industry, logistics, offshore wind and defence projects
Rail Baltica (Estonian implementation)	Delivers the Estonian section of the European-gauge railway and the Ülemiste terminal	Counterpart for construction, engineering and rail-systems suppliers
e-Residency programme	Government programme with over 135,000 e-residents that lets non-residents set up and manage Estonian companies online	Route for entrepreneurs and service companies to establish an EU base quickly

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Estonian Chamber of Commerce and Industry and the Estonian Employers' Confederation are the main business associations, with regular dialogue with government on tax, labour and regulation. The American Chamber of Commerce Estonia, the British Estonian Chamber of Commerce and Nordic chambers provide networking and market insight, and Invest Estonia organises investor visits, with foreign companies making more than 120 visits in 2025. The European Investment Bank, the Nordic Investment Bank and EU cohesion and Connecting Europe programmes finance infrastructure, energy and innovation projects. Embassies of EU partners, the United Kingdom and the United States maintain commercial sections that are useful for introductions.

INVESTOR PROFILE BEST SUITED

Estonia suits investors seeking an agile, digital and low-bureaucracy base inside the euro area: software, fintech and cyber-security companies drawing on Tallinn's tech community; manufacturers in electronics, chemicals, wood processing and machinery benefiting from untaxed reinvested profits and the large-scale investment incentive scheme; defence and dual-use firms responding to spending of 5% of GDP; construction, engineering and rail-systems suppliers for Rail Baltica; and energy investors targeting offshore wind and grid projects. Investors with any Russia-linked activity should take sanctions advice before engaging.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage Invest Estonia and assess incentives
Open dialogue with Invest Estonia to test eligibility for the large-scale investment incentive scheme and arrange site and partner visits.

STEP 2: Shortlist sites in port and industrial parks
Compare serviced plots at Muuga Harbour's industrial park and free zone, Paldiski and other industrial areas against workforce and energy needs.

STEP 3: Structure for the distributed-profit tax regime
Plan reinvestment and dividend timing around the 22% tax on distributed profits, and use e-Residency for fast company set-up where useful.

STEP 4: Position for defence and infrastructure procurement
Register with defence procurement and Rail Baltica supplier channels, and seek partnerships with established contractors.

STEP 5: Plan for fiscal, energy and security developments
Track the post-election budget, energy-price scenarios and sanctions rules, and build them into financial and continuity planning.